Robinhood Markets Inc.
(Nasdaq: HOOD)
Recommendation: BUY | Target Price: $139.38 | Implied Upside: 20.19%

Group 4 – Intro to Capital Markets
Joshua Pei, Ellie Yen, Nicolas Rivera & Milin Aujla

Robinhood Overview

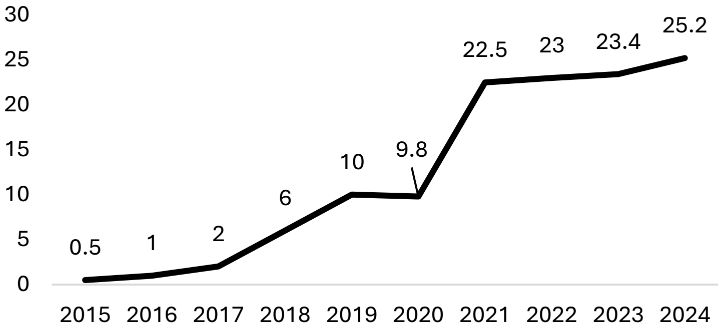
Business Description & Management Team

- Founded in April 2013 by Vlad Tenev (current CEO) and Baiju Bhatt in Menlo Park, California, the firm aimed to create a mobile commission free brokerage app that empowers retail investors.
- The app officially launched in March 2015 and quickly gained millions of users setting off the zero-commission app frenzy that would come in later years.
- Robinhood currently operations as a fintech company that allows users to trade American equities, ETFs, options, and cryptocurrencies with no commissions.
- The firm also provides auxiliary services such as cash management services which includes debit cards, transfers, and high yield cash sweep programs.
- The firm has now shifted to become a larger financial ecosystem rather than a simple trading app as there is plans/implementation for retirement accounts, credit cards, margin investment services, a venture capital arm and subscription services.

Robinhood is Transforming into a full-service financial platform. Soon being able to compete with many Retail banks nationally.

	Vlad Tenev	Jason Warnick	Jeff Pinner	Taylor Brown
Role	CEO & Chairman	CFO	CTO	Chief of Staff
Tenure	12+ Years	6+ Years	1 Year	5 Years

User Growth (Millions)



- The firm reported over 25.2 million app users by the end of 2024.
- Mass user growth between 2020 and 2021 occurred due to the January 2021 trading surge, growing brand recognition, crypto trading popularity surges, and the cultural shift that accelerated retail trading.

Major Shareholders

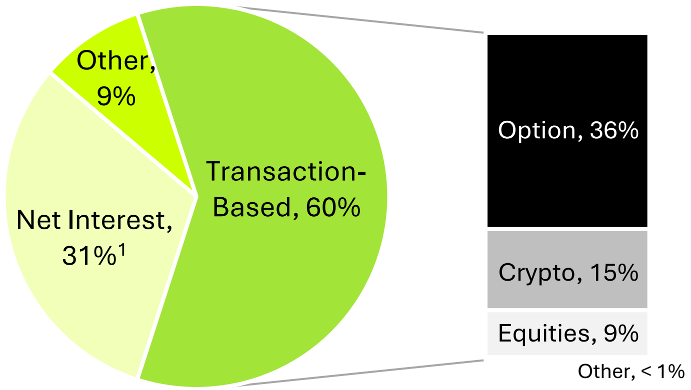
Shareholder	Share %
The Vanguard Group Inc.	10.5%
BlackRock Inc.	6.2%
Fidelity Investments (FMR LLC)	3.4%
JP Morgan Asset Management	2.7%
Newlands Management Operations LLC	2.7%

Ownership also maintains significant stakes within the firm, with Vlad Tenev owning 5.5% of the shares outstanding.

Sources: Robinhood Investor Relations, Yahoo Finance, S&P Capital IQ, MarketBeat, App Business

Revenue Per Business Segment

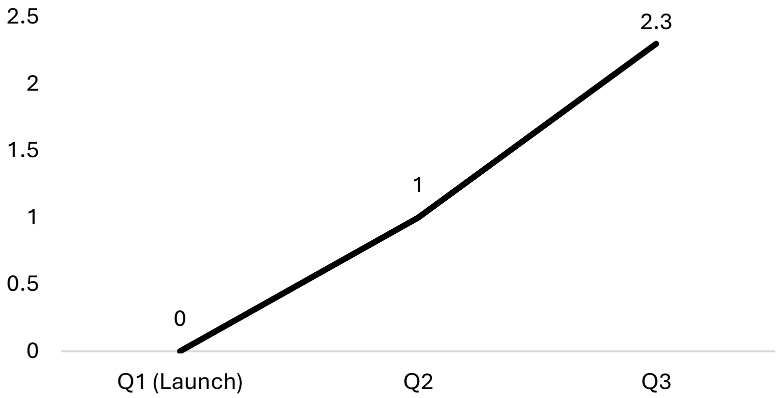
Revenue By Segment



[1] Previously 14.1% of revenue in FY 2023, as Robinhood shifts toward interest-based income

Prediction Market Contract Growth ($ bn USD)

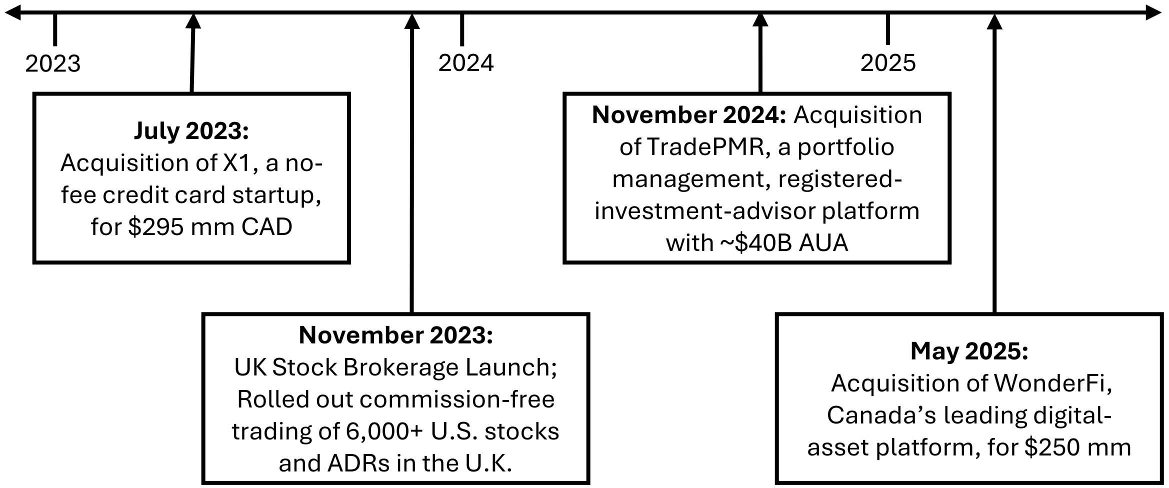
- Launched in March 2025 in line with competitors like Interactive Brokers (IBKR).
- Provides users with access to Fed rate decision and sport-related event betting.
- Massive growth reported in Q3 earnings, stemming from the explosion in event contracts since US. Presidential election.
- **Record contract sizes forecasted into Q4.**



Future Revenue Segments

- **Robinhood Ventures** - Offering the originally exclusive alternative vehicles to retail investors.
  - Public traded closed-end fund that provides exposure to IPO and PE investments.
  - Submitted N-2 filing in September; IPO date undetermined.
- **Robinhood Gold** – Subscription service tailored towards advanced traders.
  - Offers margin trading, real-time market data, and more high-yield programs.
  - Gold-member credit card with competitive perks and cash back rate.
  - >75% y/y growth as of Q3 FY2025.
- **Robinhood Banking + Wealth Management** - Private banking for the “internet generation.”
  - Robinhood strategies – financial advisory and diversified product offering.
  - Capped management fee ($250) for gold members and <0.1% for portfolios >$250k.
  - Providing checking and savings accounts and support services such as estate planning.
- **Robinhood “Cortex”** – AI Investing Assistant
  - Real-time stock analysis and auto-summarization of market movements.
  - Assists with price signal, technicals, and performs customized company screening.
  - Releasing before 2026 as per announcement in March.

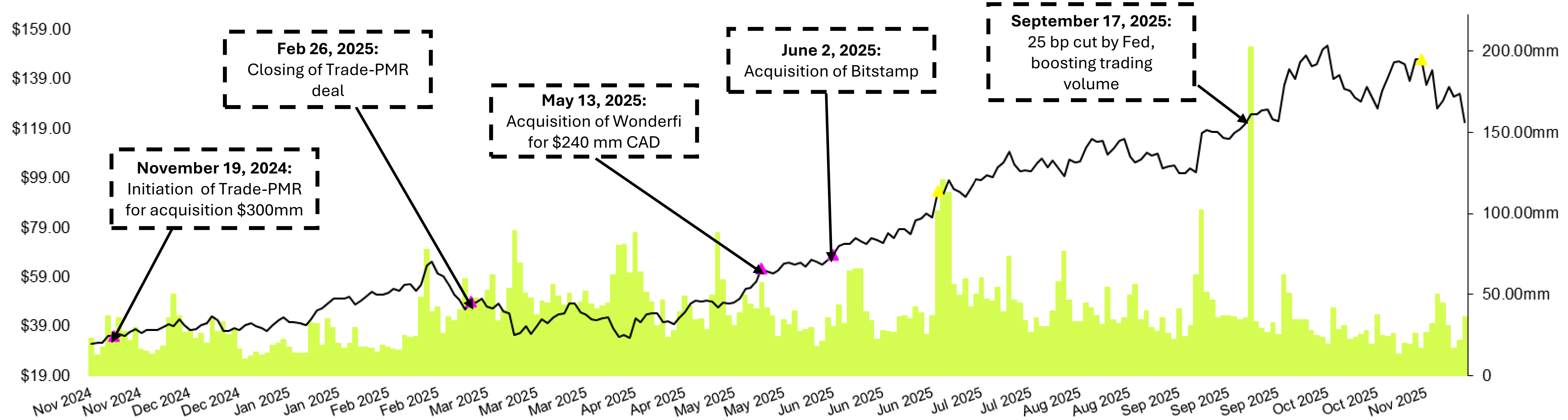
Key Transactions



Sources: Robinhood FY 2024 10-K Report, FY 2025 Q1, Q2, and Q3 10-Q Reports

Robinhood in the Market

Price to Volume Analysis



Market Valuation

In USD mm, except share price data

Share Price (as of Nov 17th, 2025)	$115.97
Shares Outstanding	899.2
Market Capitalization (as Nov. 12)	**$118,630**
- Cash & Short-Term Investments	$19,404
+ Total Debt	$16,174
+ Total Minority Interest	N/A
= Total Enterprise Value (TEV)	**$115,400**
52 Week High	**$153.86**
Current % of 52 Week High	**75.37%**

Key Metrics

EBITDA (2024)	$1,115mm
EPS (NTM)	$2.32
Market Consensus Beta (5Y)	2.42
ARPU (Q3 2025)	$151

Key Ratios

Price to Earnings (P/E)	66.65x
Market Cap / Revenue (2024)	37x
Price to Book (P/B, 2024)	13.5x

Sources: S&P Capital IQ

Competitor Analysis

Key Market Competition

E*TRADE

- **ETRADE Financial Corporation** is a digital brokerage providing self-directed and managed investing, trading, and cash-management services.
- **Key Differentiators:** Holds 23% of U.S. online brokerage share but has the lowest trading activity per account, limiting transaction-driven revenue.
- **Platform:** Offers equity, options, and fixed-income trading, retirement and managed portfolios, robo-advisory tools, and integrated cash-management solutions.

charles SCHWAB

- **The Charles Schwab Corporation** is a savings and loan holding company providing wealth management, brokerage, banking, asset management, and advisory services in the U.S. and internationally.
- **Key Differentiators:** Leads the U.S. brokerage market with 28% market share and a wealthier client base with average age near 50 and $300,000 account balances, delivering higher asset-based revenues and diversified income streams.
- **Platform:** Equity and fixed income trading, margin lending, options, futures, forex, and cash management services including certificates of deposit

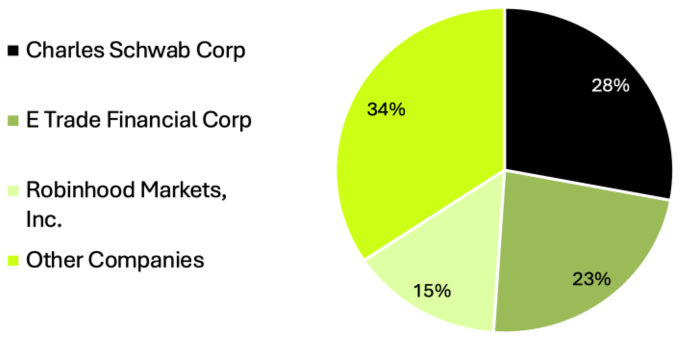
coinbase

- **Coinbase Global, Inc.** is a cryptocurrency exchange platform offering access to over 260 digital assets with staking, crypto-to-crypto trading, institutional-grade custody, and early access to new token listings
- **Key Differentiators:** Pure-play digital asset platform with strong U.S. regulatory alignment and a dual retail/institutional model, delivering higher monetization per user through industry-leading security
- **Platform:** Trading, staking, custody, and settlement across cryptocurrencies, stablecoins, and tokenized assets with institutional-grade security

Interactive Brokers

- **Interactive Brokers Group, Inc.** operates as an automated electronic brokerage providing custody, prime brokerage, securities trading, and margin lending services
- **Key Differentiators:** Hybrid retail/institutional model with average account balances of $170,000, Industry-leading average revenue per user driven by higher trading frequency and substantial cash/margin allocations
- **Platform:** Execution, clearance, and settlement across stocks, options, futures, forex, bonds, mutual funds, ETFs, precious metals, and cryptocurrencies

Online Stock Brokerage in the US



- The Graph represents the percentage of total US online brokerage revenue by company
- Established client relationships and marketing strategies strengthen companies' competitive market positioning
- Exiting brokers are expanding their product catalogs and trading capabilities to attract and retain a broader customer base

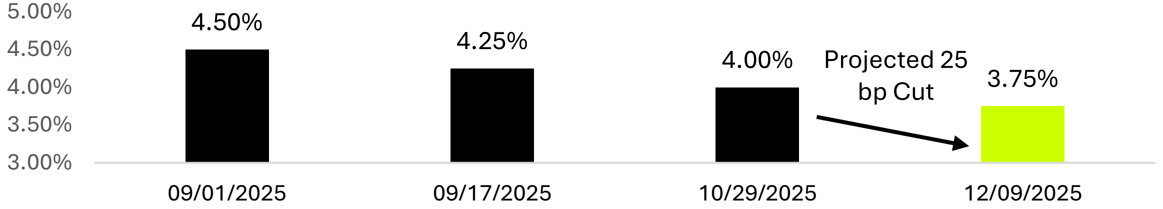
Crypto Exchanges available in the US (ranked by daily trading volume)	
Coinbase Exchange	$2,662,176,218
Crypto.com Exchange	$2,948,369,476
Kraken	$1,275,215,220
Bitstamp by Robinhood	$477,079,422

Sources: IBIS World, S&P Capital IQ, CoinLaw, Bloomberg Intelligence

Demand Tailwinds

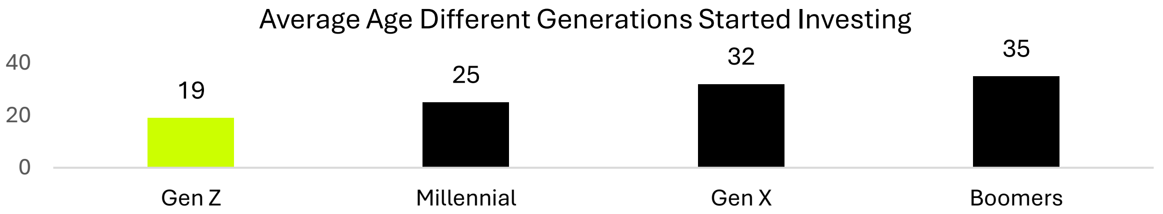
2025 US Fed Rate Cuts

- The recent cuts by the Fed have reduced the cost of margin borrowing, marking leveraged trading more attracting. Thus, the lower borrowing costs have stimulated activities in equities, options and crypto.
- Brokerage app users are highly rate-sensitive, with lower rates unlocking more risk-on behavior.
- Retail trading accounts for approximately 9% of total market volume and has increased since the cuts. Additionally, the daily retail trading volume on the Nasdaq sits at $38 billion.

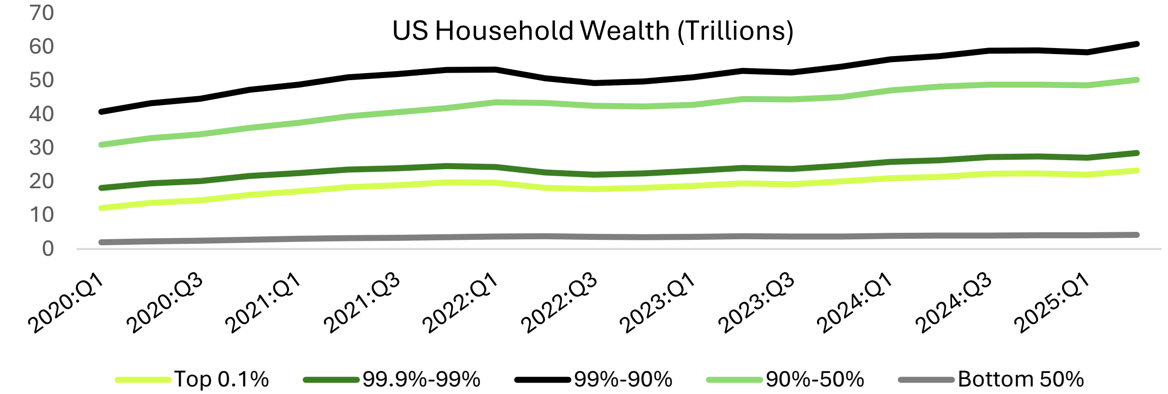


Retail Trading Age Demographics

- Younger generations are entering the investment world earlier than ever before, driven by easier access to trading platforms, financial content on social media, and macroeconomic events like low interest rates and pandemic-era stimulus.
- Gen Z began investing at an average age of 19, much earlier than other generations, reflecting a broader democratization of finance, with online platforms lowering barriers to entry through zero-commission trading, fractional shares, and a mobile-first experience.



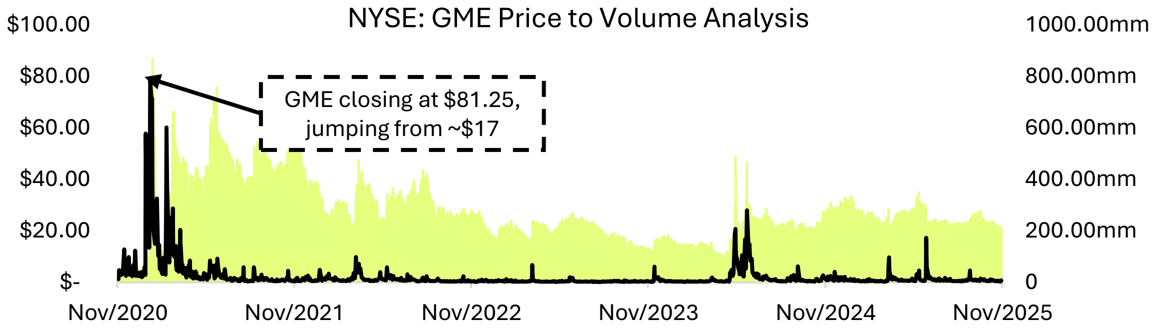
Growing US Household Wealth



As US household wealth rises, consumers gain more disposable capital to invest, leading to higher engagement in brokerage platforms as investment activity rises.

2021 GameStop Phenomenon

- In Jan 2021, a Reddit-fueled buying frenzy on GameStop and other highly shorted "meme" stocks triggered an unprecedented short squeeze; GME's trading volume and price exploded as the r/WallStreetBets community and online influencers pushed the stock sharply higher.
- This surge forced many hedge funds holding short positions to buy stock at elevated prices.
- Robinhood and other trading platforms temporarily restricting buy orders on volatile stocks like GameStop to meet clearinghouse requirements, facing public scrutiny.

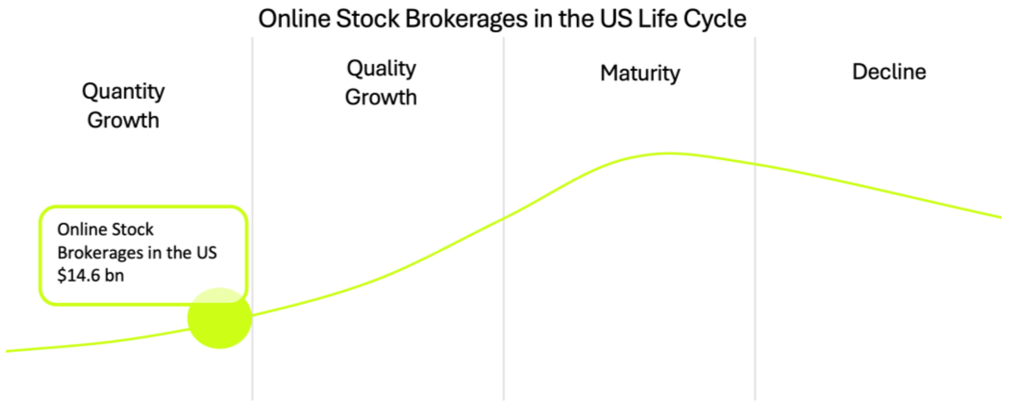


Sources: Bloomberg Intelligence, Nasdaq, ARK Investment Management LLC, Reuters, Statistica

Shifting Market Dynamics

Market's transition towards consolidation

- More than 50% of the US online brokerage market is shared between Charles Schwab, Robinhood and ETRADE
- The move to zero-commission trading has accelerated consolidation acting as a barrier to entry, and favoring scalable, digital-first platforms
- Lower trading costs have reduced revenue per trade to \$2–\$3 (vs. \$10+ a decade ago) but have driven retail activity up 2–2.5x from pre-2019 levels, which benefits exiting companies that receive this retail trade flows
- As online investing grows faster than the broader economy, leading brokers capture a greater share of new users, reinforcing their scale advantages



Technology-Driven Development

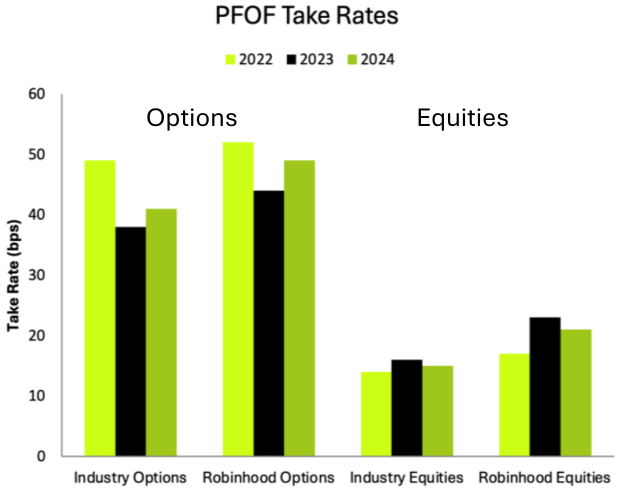
- The adoption of smartphones has changed how consumers invest, driving a clear shift toward mobile-first trading platforms
- As innovation accelerates, more investors are expected to choose online brokers for greater convenience, speed, and overall trading efficiency
- Brokers will continue upgrading mobile tools, analytics, and platform to meet rising user expectations

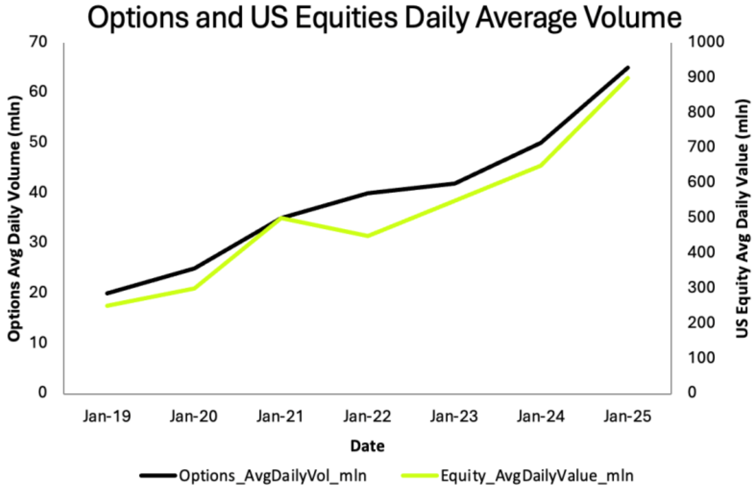
Favorable regulatory environment for Crypto

- SEC approval of spot Bitcoin ETFs, the EU's MiCA framework, and stronger AML standards are boosting investor confidence and accelerating institutional and retail adoption
- Consensus forecasts 16% crypto revenue growth in 2026 (following 25% in 2025 and 35–65% in 2023–24), with EBITDA margins reaching 50–55% in 2025–26 due to operating leverage
- Increasing retail participation on regulated platforms is lifting transaction volumes and creating durable revenue tailwinds for leading crypto brokers

Retail adoption of Option Trading

- Retail investors' broad adoption of options trading has become key in revenue growth for brokers
- Options generate higher take rates than equities, about 40 cents per contract in 2024 versus roughly 12 cents for stocks,
- Options volumes have trended upward regardless of equity-market sentiment
- Broker-led education programs have also accelerated adoption of these more complex products
- Industry data shows that options now account for roughly 70% of total PFOF revenue

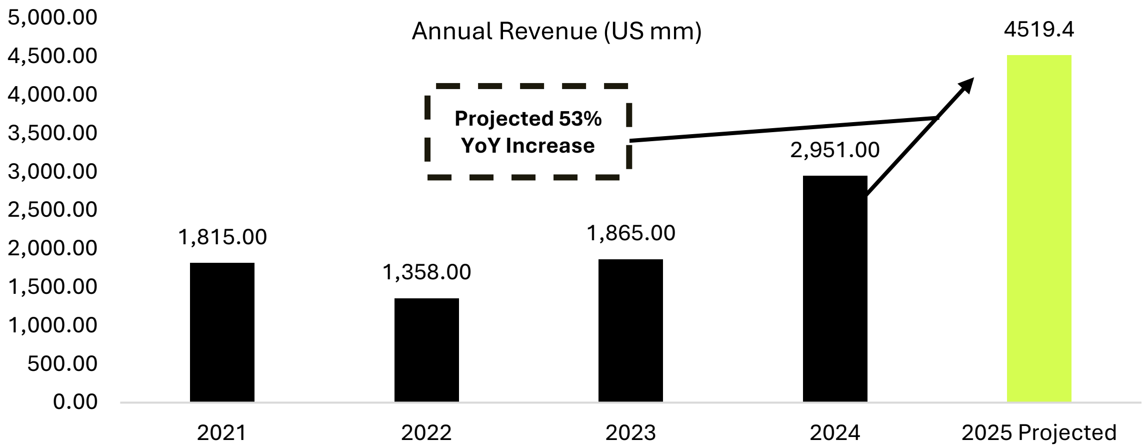




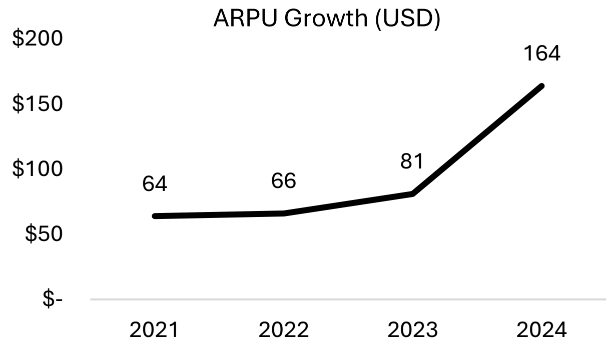
Sources: Bloomberg Intelligence, IBIS World

Market Underestimation of Transition to Financial Ecosystem

Robinhood Growth

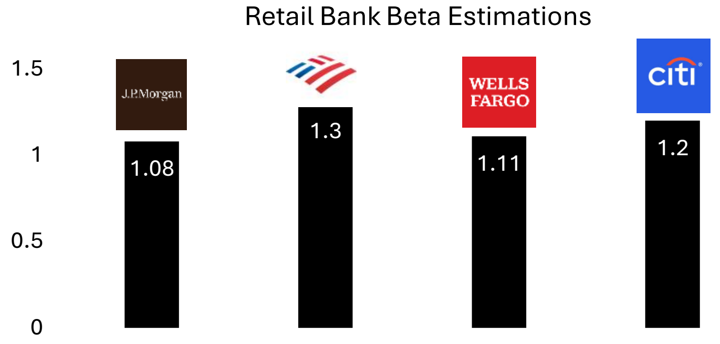


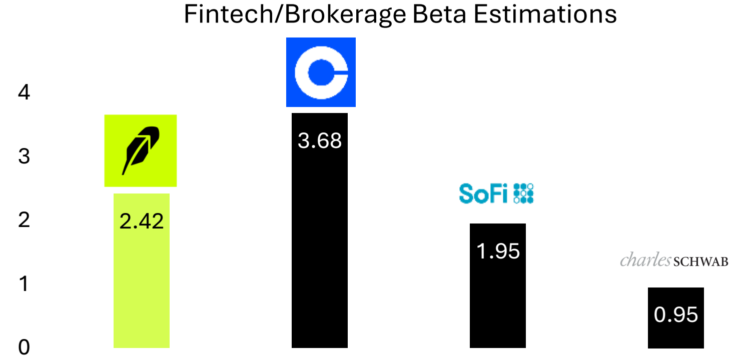
- Robinhood experienced large growth in both annual revenue and average revenue per user in recent years. This revenue uptick is due to more established business segments not available on normal brokerage apps.
- The firm differs with their product offerings through the launches of these select services:
  - Banking
  - Debit Card Services (Cash Management Account)
  - Prediction Markets
  - Options Trading
  - Tailored Strategies Portfolio Service
  - In-App Crypto Services
  - Credit Card Expansion



In 2025, Robinhood saw the addition of their prediction markets platform, tokenized U.S. stocks and ETFs for EU customers, the implementation of a social trading platform, and advanced trading features.

Inadequate Comparables





- The current market assumed beta for Robinhood sits at 2.42, signalling that the company is highly sensitive to market conditions. However, this isn't the case.
- The addition of key segments has transferred the firm into a full financial ecosystem rather than a simple brokerage app; thus, its revenue is less cyclical rather than structural due to macro conditions.
- As a result, it should be trading more like a quasi-retail bank, and its beta value should be lower towards market beta, like other retail banks.

Differing with competitors

	Equities Trading	Cash Management	Prediction Markets	Options Trading	Crypto Trading	Debit Cards	Credit Cards	Venture Capital
Robinhood	✓	✓	✓	✓	✓	✓	✓	✓
Fidelity	✓	✓	X	✓	X	✓	✓	✓
Charles Schwab	✓	✓	X	✓	X	✓	✓	X
SoFi	✓	✓	X	✓	✓	✓	✓	X

Robinhood Strong Market Share Among Young Investors

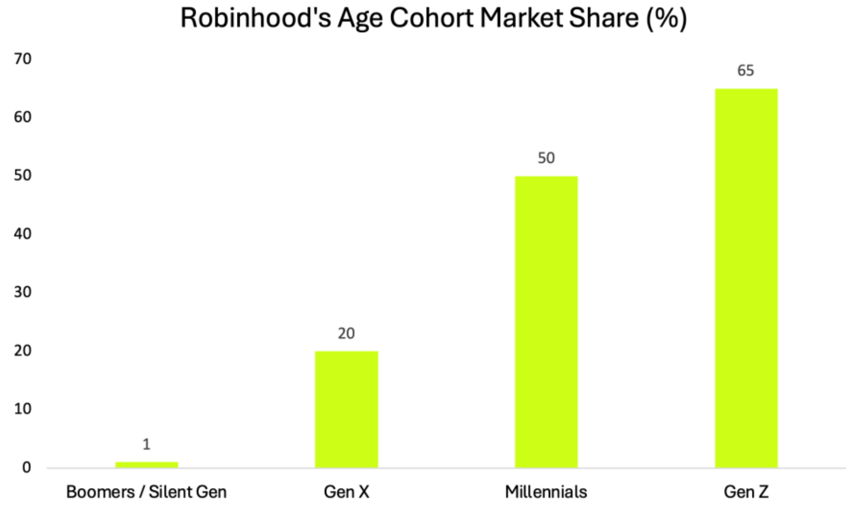
Capturing new investors for the long term

Robinhood Has Captured the Future Investor Base Early

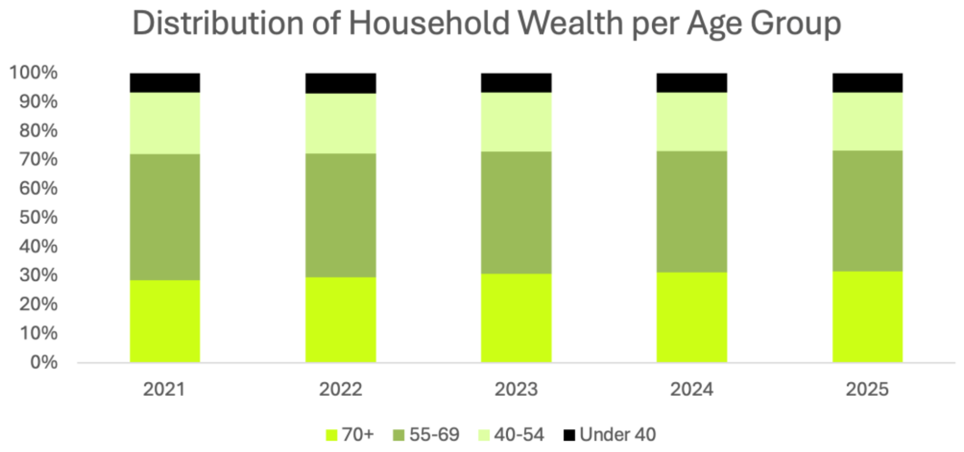
- Legacy brokers like Schwab and Fidelity have average customer ages of 55–60, reflecting older, later-stage investors
- Boomers and Gen X began investing in their mid-30s to 40s
- Millennials and Gen Z started investing much earlier, often in their teens or early twenties.
- This earlier adoption gives Robinhood a 15–25 year head start in customer lifetime value (LTV) compared with legacy platforms

A Multi-Decade Monetization Opportunity from a Young Customer Base

- 75% of Robinhood customers are under 45, meaning the platform already controls the key younger cohorts
- These users will be monetized over the next 20+ years as their financial lives expand
- As customers enter peak earning years, their account balances typically increase 10–20x from today's $10K average
- Robinhood captures this growth with minimal incremental customer acquisition cost, as the users are already on the platform



Wealth Transfer



The largest intergenerational wealth transfer in history flows directly into Robinhood's userbase

- Over the next 15 years, $80 trillion will transfer from Baby Boomers, who hold accounts primarily at legacy brokerages, to Millennials and Gen Z, who bank at Robinhood
- This wealth transfer alone creates a multi-decade compounding growth with minimal customer acquisition cost, as funds flow naturally from competitors'accounts to Robinhood's existing user base

Massive monetization whitespace exists today

- Despite holding 20% of industry accounts,Robinhood captures just 2% of assets due to its users' age and wealth stage
- Of the $80T transfer,approximately $40 trillion represents investable, self-directed assets within Robinhood's addressable market.
- By capturing 40% share of this growth, current AUC of $300B could scale into 6.4T

Sources: Colossus, Fidelity, Federal Reserve

Comparable Company Analysis

Market Relevant Metrics

Company	Ticker	Equity Value	Enterprise Value	EV/EBITDA NTM	EV/Revenue NTM	P/E NTM	Unlevered Beta
Coinbase Global Inc.	COIN	76,579	70,314	23.5x	9.5x	35.0x	2.7x
Charles Shwab Corp	SCHW	167,725	171,506	30.7x	17.2x	19.6x	0.7x
JP Morgan Chase & Co.	JPM	834,853	1,644,394	N/A	8.8x	15.0x	0.6x
Fidelity National Financial	FNF	15,796	17,679	N/A	1.3x	13.6x	0.8x
Bank of America	BAC	384,184	878,841	N/A	8.6x	12.2x	1.3x
Webull	BULL	4,268	3,764	18.0x	6.7x	77.6x	-0.2x
LPL Financial Holdings	LPLA	29,660	34,610	16.8x	2.0x	27.3x	0.3x
Interactive Brokers Group Inc.	IBKR	111,994	149,175	31.2x	24.4x	31.2x	1.3x

Robinhood Markets Inc.	**HOOD.O**	**110,151**	**113,114**	**44.8x**	**25.3x**	**61.2x**	**0.7x**

75th Percentile	221,839.80	348,339.80	30.7x	11.4x	32.1x	1.3x
Median	**94,286.20**	**109,744.41**	**23.5x**	**8.7x**	**23.5x**	**0.7x**
25th Percentile	94,286.20	109,744.41	23.5x	8.7x	23.5x	0.7x

The obtained median exit multiple for EV/EBITDA of 23.5x is utilized in our DCF Exit Multiple Valuation.

Discounted Cash Flow Model Analysis

DCF Valuation Assumptions

- **Overall Growth**: 26-32% revenue CAGR driven by interest income, transaction growth, and ancillary revenues.
- **Interest Revenue (28-35% CAGR)**: Robinhood captures 40% of $16 trillion wealth transfer to self-directed platforms, generating $6.4 trillion in AUC growth and 35.8% interest revenue expansion.
- **Transaction Revenue (24-28% CAGR)**: Market share grows from 14.6% to 37.6% by 2029 (+4pp annually) through prediction markets, Robinhood Ventures, tokenized assets, and short selling.
- **Ancillary Revenues**: Margin interest maintains 24% ratio to transaction revenues; Gold subscriptions scale with active traders
- **Scenarios**: Terminal growth of 4.1% (base), 3.5% (bear), 4.5% (bull).

	31-Dec-19	*31-Dec-20*	*31-Dec-21*	*31-Dec-22*	*31-Dec-23*	*31-Dec-24*	*31-Dec-25*	*31-Dec-26*	*31-Dec-27*	*31-Dec-28*	*31-Dec-29*
All Figures in mm USD	**2019A**	**2020A**	**2021A**	**2022A**	**2023A**	**2024A**	**2025E**	**2026E**	**2027E**	**2028E**	**2029E**
EBIT	**-107**	**14**	**-1641**	**-1011**	**-536**	**1054**	**1796**	**2198**	**3054**	**4202**	**5879**
Less: Tax Expense	-1	6	2	1	8	-347	275	336	467	643	899
Add: Depreciation and Amortization	5	10	25	61	71	77	81	88	98	113	130
Less: Capital Expenditures	7	24	63	28	2	13	74	89	109	117	141
Less: Change in Net Working Capital	n/a	n/a	29	-358	1085	1257	267	147	154	162	170
Unlevered Free Cash Flow	**n/a**	**n/a**	**-1710**	**-621**	**-1560**	**208**	**1261**	**1714**	**2421**	**3394**	**4799**
Discount Factor	n/a	n/a	n/a	n/a	n/a	n/a	1	1	1	1	1
Present Value of Unlevered Free Cash Flow							**1148**	**1489**	**1961**	**2562**	**3376**

Key Assumptions (Base Case)

All Figures in mm USD

Risk-free Rate	4.10%
Market Risk Premium	3.7%
Levered Beta	0.8x
Cost of Equity	**7.1%**
Pre-tax Cost of Debt	4.5%
Effective Tax Rate	15.3%
Cost of Debt	**3.8%**
Tax Rate	15.3%
Current Share Price	115.97
WACC	**6.79%**
Perpetuity Growth Rate	**2.8%**
Exit Multiple	**23.5x**

Discounted Cash Flow Model Analysis – Continued

Sensitivity Analysis

Sensitivity Table For WACC Against Perpetuity Growth Rate

Perpetuity Growth Rate	WACC 5.29%	6.04%	6.79%	7.54%	8.29%
3.3%	$233.56	$169.46	$132.93	$109.33	$92.83
3.1%	$209.54	$156.82	$125.25	$104.24	$89.25
2.8%	$190.35	$146.12	$118.53	$99.68	$85.99
2.6%	$174.66	$136.96	$112.60	$95.58	$83.02
2.3%	$161.59	$129.02	$107.34	$91.87	$80.29

Sensitivity Table For WACC Against EV / Revenue Multiple

Exit Multiple (EV / Revenue)	WACC 5.29%	6.04%	6.79%	7.54%	8.29%
25.5x	$160.47	$156.18	$152.05	$148.06	$144.20
24.5x	$155.06	$150.93	$146.94	$143.09	$139.37
23.5x	$149.64	$145.67	$141.83	$138.13	$134.55
22.5x	$144.23	$140.41	$136.72	$133.16	$129.72
21.5x	$138.82	$135.15	$131.62	$128.20	$124.90

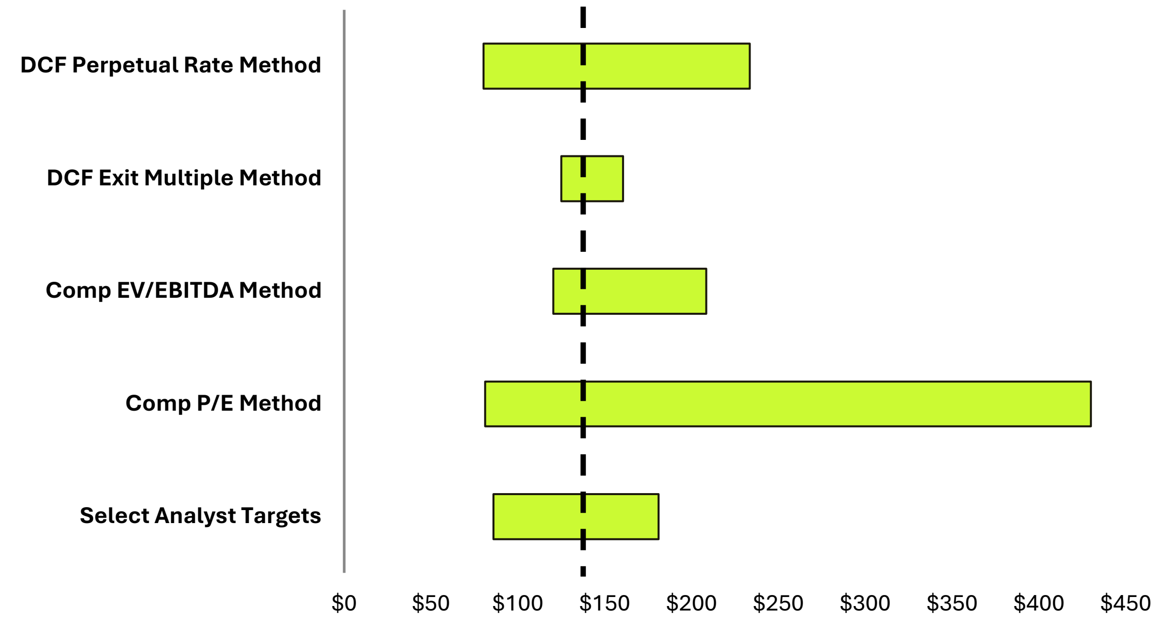
Perpetuity Growth Rate	
Perpetuity Growth Rate	2.8%
PV Sum of UFCF	10,535
Terminal Value	86,991
Enterprise Value	**97,526**
Add: Cash	9,056
Less: Debt	-
Less: Other EV Adjustments	-
Equity Value	**106,582**
Shares Outstanding	899
Implied Share Price	**118.53**
Current Share Price	115.97
Total Return	**2.2%**

Exit Multiple Method	
Exit Multiple	23.5x
PV Sum of UFCF	10,535
Terminal Value	108,145
Enterprise Value	**118,680**
Add: Cash	9,056
Less: Debt	-
Less: Other EV Adjustments	-
Equity Value	**127,736**
Shares Outstanding	899
Implied Share Price	**142.06**
Current Share Price	115.97
Total Return	**22.5%**

Sources: Bloomberg, S&P Capital IQ, Robinhood Investor Relations

Recommendation - BUY

Indicative Valuation Range



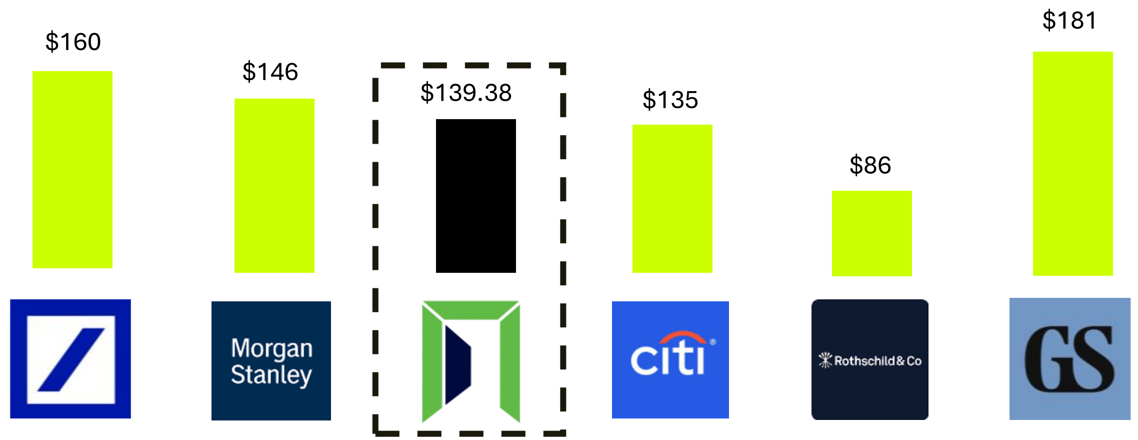
Analysis	Share Price			Implied Upside/Downside		
	Bear	*Base*	*Bull*	*Bear*	*Base*	*Bull*
DCF – Perpetuity Growth	$89.83	$118.53	$154.46	-22.5%	2.2%	33.2%
DCF – Exit Multiple	$113.96	$142.06	$172.40	-1.7%	22.5%	48.7%

The Blended Share Price (Base Case) obtained is $139.38, presenting an implied upside of 20.19%

Price Target

Analysis	***Target Price***	***Weight***
DCF - Perpetuity Growth	$118.53	25%
DCF – Exit Multiple	$142.06	30%
Comparables	$164.35	15%
Select Analyst Price Targets *(Average)*	$141.60	30%
Blended Price		**$139.38**
Current Price		**$115.97**
Implied Upside		**20.19%**

Selected Broker Summary



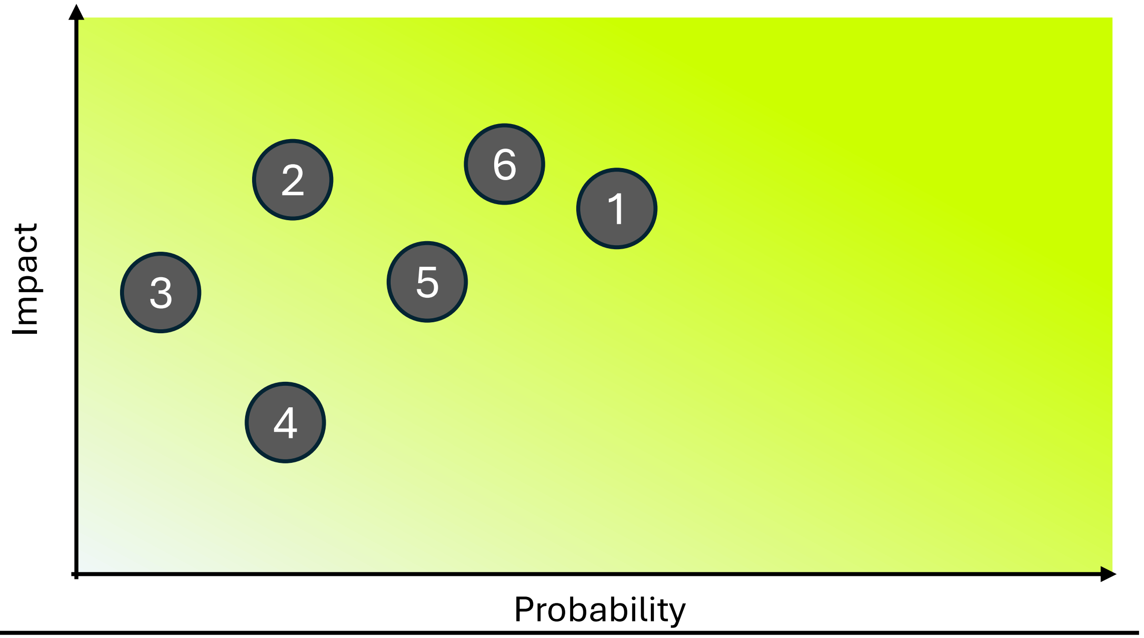
Risks in Robinhood's Landscape

Catalysts

1. **US Rate Cuts Boosting Trade Volume:** After the initial September 17th cut by the US Federal Bank, trade volumes boosted for many equities due to decreased risk of borrowing for retail traders. Additionally, stock valuations were boosted up because the risk-free rate adjustment when calculating the WACC.
2. **Tokenization and Global Trading Expansion:** This expansion unlocks access to non-US markets and non-traditional assets for retail traders to take advantage of. Additionally, the VC arm will allow everyday investors to buy portions of growth stage companies, appealing to a new audience.
3. **Broader Product System:** The diversification of the firm's product offerings, like banking, Credit Card, IRA, dramatically increasing user stickiness.
4. **Index Entry Triggers:** As the company meets the criteria for inclusion, particularly sustained GAAP profitability and market cap, it becomes a prime candidate for the S&P 500. This is a powerful, event-driven catalyst that would trigger a massive, one-time, non-discretionary wave of buying from index funds and ETFs that are forced to own the stock.
5. **High Operating Leverage:** Robinhood is a tech platform with a high fixed-cost base. Because of its high operating leverage, every incremental dollar of revenue (from new users, gold subscriptions) comes at a very low marginal cost.

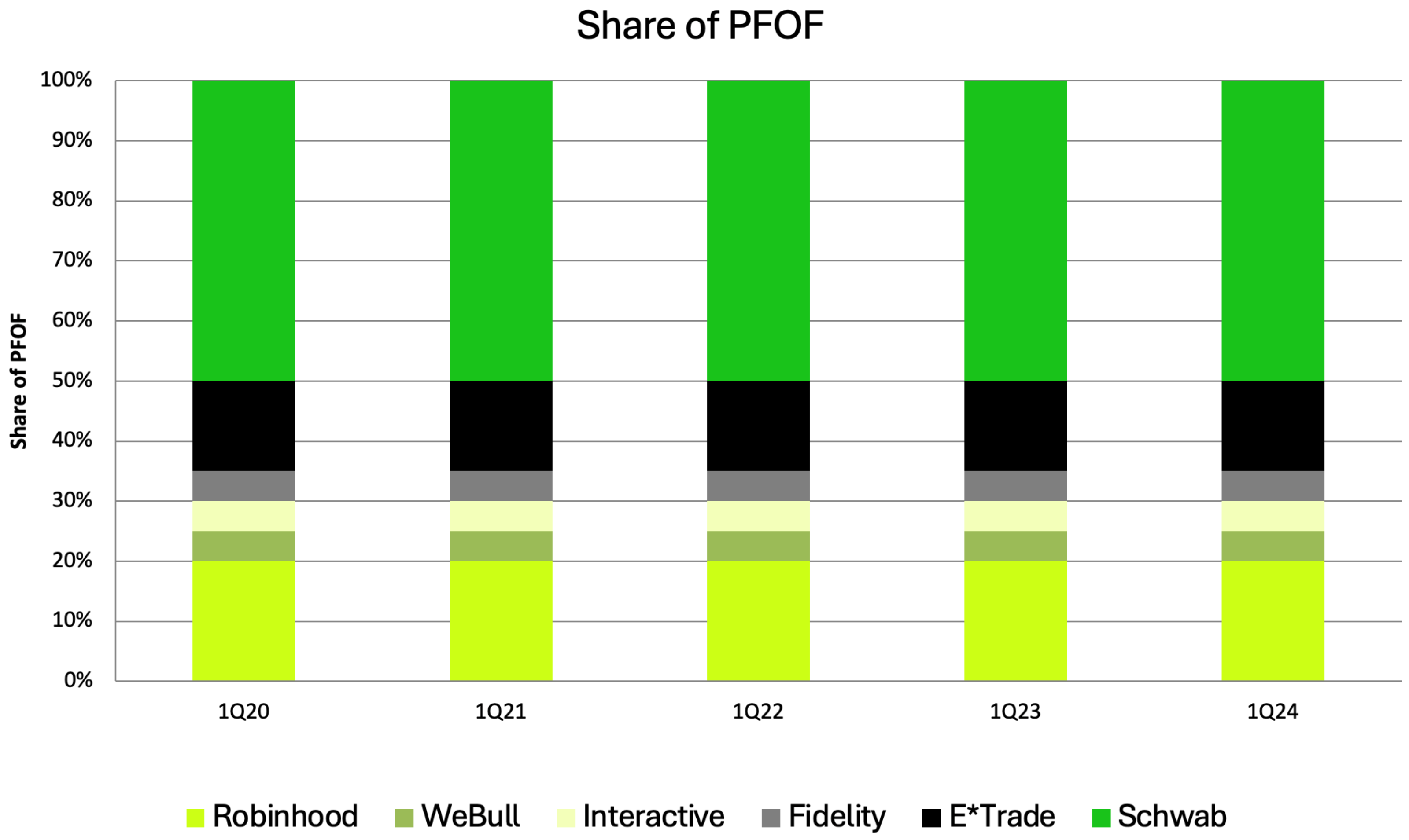
Risks

1. **Slower Traction in Full-Ecosystem Expansion:** Growth in new products may scale more slowly than expected, delaying Robinhood's transition into a full financial ecosystem
2. **Lower Trading Volumes Across Equities, Options & Crypto:** A broad pullback in trading activity, especially among younger users, would reduce engagement and core revenue that supports long-term ecosystem growth
3. **Intensifying Competition Across HOOD's Businesses:** Traditional brokers, FinTech, and global crypto exchanges may compete more aggressively for younger investors, pressuring market share and slowing AUM growth
4. **Reduced Acceptance or Tighter Regulation of Crypto:** Regulatory actions or declines in crypto adoption could negatively impact one of Robinhood's highest-engagement and highest-margin user activities
5. **Regulatory or Litigation Pressure on Core Trading Economics:** Potential SEC actions on PFOF, best-execution standards, or consumer protection could weaken core revenue streams and slow the company's ability to reinvest in ecosystem expansion.
6. **Heavy Debt Profile Taken on During 2025:** In 2025, the firm expanded its debt profile largely, and they now over $16 Billion in debt as of 2025 Q3. As a result, any slowdowns in revenue production could put the firm in credit risk.



Sources: Deutsche Bank, Business Insider, S&P Capital IQ, Trading Economics

Appendix 1: Market Share of Payment for Order Flow



- Robinhood pioneered the modern PFOF-driven brokerage model, eliminating commissions well before the industry followed.
- While competitors eventually copied zero-commission trading, Robinhood continues to lead due to its mobile-first design.

Appendix 2: Impact of Rate Cuts

Hypothetical -100 Bp Interest Rate Changed				
Company	NII % of 2026E Revenue	Δ in Revenue (-100bp)	Δ in NII (-100bp)	Δ in Pretax Income (-100bp)
IBKR	58%	-6%	-11%	-8%
SCHW	50%	-2%	-4%	-4%
HOOD	35%	-6%	-13%	-9%

Appendix 3: AUC Increase Explanation

Wealth transfer size:

- Total U.S. inheritance expected: **$80T**
- Investable (financial) assets: **$40T**

Self-directed portion:

- Roughly **40%** of investable wealth flows to self-directed platforms, **$16T** potential for retail brokerages

Robinhood's flow share assumption:

- If Robinhood captures between **25% and 40%** of incremental self-directed inflows (reasonable given 50–65% share in younger cohorts), expected AUM inflow is:
- **25% share → $4T**
- **40% share → $6.4T**

Implied AUM trajectory:

- Starting AUC today: **$300B**
- Potential 10-year AUC: **$1.5–4.0T+**, depending on flow share and pace of transfer.

The wealth transfer will not be linear; it will accelerate as larger estates transition later in the cycle. AUC will growth close to exponentially due to compounding account balances

Compunded annual growth = (6400/300)^(1/10)-1= 35.8%

Appendix 4a: Revenue Breakdown

	31-Dec-19	31-Dec-20	31-Dec-21	31-Dec-22	31-Dec-23	31-Dec-24	31-Dec-25	31-Dec-26	31-Dec-27	31-Dec-28	31-Dec-29
All Figures in millions USD (mm)	**2019A**	**2020A**	**2021A**	**2022A**	**2023A**	**2024A**	**2025E**	**2026E**	**2027E**	**2028E**	**2029E**
Model Drivers											
Revenue Breakdown by Segment (Annual)											
Transaction-Based	**171**	**720**	**1402**	**814**	**785**	**1647**	**2212**	**2972**	**3992**	**5363**	**7204**
Options	111	440	689	488	505	760	1257	1688	2268	3046	4092
Crypto	9	27	419	202	135	626	597	802	1077	1447	1943
Equities	51	251	288	117	104	177	287	385	518	695	934
Other	0	2	6	7	41	84	72	97	130	174	234
Net Interest Revenue	**71**	**177**	**257**	**424**	**929**	**1109**	**1486**	**1834**	**2385**	**3132**	**4145**
Margin Interest	19	67	132	177	243	319	531	714	959	1288	1730
Interest on segregated cash & cash equivalents	36	13	4	57	210	261	357	488	668	914	1250
Cash Sweep	0	0	0	22	123	179	245	335	458	627	858
Securities lending, net	6	98	137	89	79	94	97	100	103	106	110
Interest on corporate cash and investments	0	0	0	103	288	256	256	197	197	197	197
Credit card, net	0	0	0	0	9	24	25	26	26	27	28
Interest expenses realted to credit facilities	-1	(5)	(20)	(24)	(23)	(24)	-25	-26	-26	-27	-28
Other	10	4	4	0	0	0	0	0	0	0	0
Other	**36**	**61**	**156**	**120**	**151**	**195**	**247**	**296**	**363**	**451**	**569**
Robinhood Gold subsciption revenues	0	0	0	68	75	109	159	204	269	353	469
Proxy revenues	0	0	0	44	61	60	62	64	66	68	70
Other	36	61	156	8	15	26	27	28	28	29	30
Total Net Revenue Per Annum	**278**	**959**	**1815**	**1358**	**1865**	**2951**	**3946**	**5102**	**6740**	**8945**	**11917**

Appendix 4b: Financials for Base Case

Income Statement

All Figures in millions USD (mm)	31-Dec-19 2019A	31-Dec-20 2020A	31-Dec-21 2021A	31-Dec-22 2022A	31-Dec-23 2023A	31-Dec-24 2024A	31-Dec-25 2025E	31-Dec-26 2026E	31-Dec-27 2027E	31-Dec-28 2028E	31-Dec-29 2029E
Income Statement											
Net Revenue	278	959	1,815	1,358	1,865	2,951	**3,946**	**5,102**	**6,740**	**8,945**	**11,917**
Brokerage and transaction/COGS	45	111	152	179	146	164	228	496	635	858	1,072
Gross Profit	**232**	**848**	**1,663**	**1,179**	**1,719**	**2,787**	**3,718**	**4,606**	**6,105**	**8,087**	**10,845**
R&D	95	216	1,233	878	805	818	993	1,207	1,465	1,780	2,161
Operations	34	138	373	249	116	112	159	206	272	361	481
Provision for credit losses	-	-	-	36	43	76	101	130	172	228	304
Marketing	125	186	327	103	122	272	353	457	603	801	1,067
SG&A	86	295	1,371	924	1,169	455	316	408	539	716	953
Income from Operations	**(107)**	**14**	**(1,641)**	**(1,011)**	**(536)**	**1,054**	**1,796**	**2,198**	**3,054**	**4,202**	**5,879**
Other Income	(1)	0	2	(16)	3	10	(0)	(0)	(0)	(0)	(0)
Pre-Tax Net Income	**(108)**	**14**	**(3,684)**	**(1,027)**	**(533)**	**1,064**	**1,795**	**2,198**	**3,053**	**4,202**	**5,879**
Tax Expense	(1)	6	2	1	8	(347)	275	336	467	643	899
Net Income	**(107)**	**7**	**(3,686)**	**(1,028)**	**(541)**	**1,411**	**1,521**	**1,862**	**2,586**	**3,559**	**4,979**

Appendix 4c: Financials for Base Case

Balance Sheet

	31-Dec-19	31-Dec-20	31-Dec-21	31-Dec-22	31-Dec-23	31-Dec-24	31-Dec-25	31-Dec-26	31-Dec-27	31-Dec-28	31-Dec-29
All Figures in millions USD (mm)	**2019A**	**2020A**	**2021A**	**2022A**	**2023A**	**2024A**	**2025E**	**2026E**	**2027E**	**2028E**	**2029E**
Balance Sheet											
Assets											
Cash and cash equivalents	n/a	1,403	6,253	6,339	4,835	4,332	5,311	6,559	7,405	8,283	9,592
Cash, cash equivalents, and securities segregated under federal and other regulations	n/a	4,915	3,992	2,995	4,448	4,724	5,196	5,456	5,729	6,015	6,316
Receivables from brokers, dealers, and clearing organizations	n/a	125	88	76	89	471	518	544	571	600	630
Receivables from users, net	n/a	3,354	6,639	3,218	3,495	8,239	9,063	9,516	9,992	10,491	11,016
Securities borrowed	n/a	n/a	n/a	517	1,602	3,236	3,560	3,738	3,924	4,121	4,327
Deposits with clearing organizations	n/a	226	328	186	338	489	538	565	593	623	654
User-held fractional shares	n/a	802	1,834	997	1,592	2,530	2,783	2,922	3,068	3,222	3,383
Held-to-maturity investments	n/a	-	27	-	413	398	438	460	483	507	532
Prepaid expenses	n/a	n/a	n/a	86	63	75	83	87	91	96	100
Deferred customer match incentives	n/a	n/a	n/a	n/a	11	100	110	116	121	127	134
Other current assets	n/a	49	121	72	196	509	560	588	617	648	681
Total Current Assets	**-**	**10,873**	**19,284**	**14,486**	**17,082**	**25,103**	**28,159**	**30,549**	**32,595**	**34,732**	**37,364**
Property, software, and equipment, net	n/a	46	146	146	120	139	153	161	169	177	186
Goodwill	n/a	-	101	100	175	179	197	207	217	228	239
Intangible assets, net	n/a	0	34	25	48	38	42	44	46	48	51
Non-current held-to-maturity investments	n/a	n/a	n/a	-	73	-	-	-	-	-	-
Non-current deferred customer match incentives	n/a	n/a	n/a	17	19	195	215	225	236	248	261
Restricted Cash	n/a	7	24	n/a	n/a	n/a	-	-	-	-	-
Other non-current assets	n/a	63	181	132	107	533	586	616	646	679	713
Total Assets	**-**	**10,988**	**19,769**	**14,906**	**17,624**	**26,187**	**29,352**	**31,801**	**33,909**	**36,113**	**38,813**
Liabilities											
Accounts Payable and accrued expense	n/a	105	252	185	384	397	437	459	481	506	531
Payables to users	n/a	5,897	6,476	4,701	5,097	7,448	8,193	8,602	9,033	9,484	9,958
Securities loaned	n/a	1,921	3,651	1,834	3,547	7,463	8,209	8,620	9,051	9,503	9,978
Fractional shares repurchase obligation	n/a	802	1,834	997	1,592	2,530	2,783	2,922	3,068	3,222	3,383
Other current liabilities	n/a	91	134	105	217	266	293	307	323	339	356
Current Liabilities	**-**	**8,816**	**12,347**	**7,822**	**10,837**	**18,104**	**19,914**	**20,910**	**21,956**	**23,053**	**24,206**
Other non-current liabilities	n/a	48	129	128	91	111	122	128	135	141	148
Total Liabilities	**-**	**8,864**	**12,476**	**7,950**	**10,928**	**18,215**	**20,037**	**21,038**	**22,090**	**23,195**	**24,354**
Shareholders Equity											
Convertible preferred stock	-	2,180	-	-	-	-	-	-	-	-	-
Preferred stock	n/a	-	-	-	-	-	-	-	-	-	-
Class A common stock	n/a	-	-	-	-	-	-	-	-	-	-
Class B common stock	n/a	-	-	-	-	-	-	-	-	-	-
Class C common stock	n/a	-	-	-	-	-	-	-	-	-	-
Additional paid-in capital	n/a	134	11,169	11,861	12,145	12,008	13,211	13,872	14,566	15,294	16,058
Accumulated other comprehensive loss	n/a	0	0	-	(3)	(1)	(1)	(1)	(1)	(1)	(1)
Accumulated deficit	n/a	(190)	(3,877)	(4,905)	(5,446)	(4,035)	(3,894)	(3,108)	(2,746)	(2,375)	(1,599)
Total Equity (Includig Mezzanine - Convertible Equity)	**-**	**2,124**	**7,293**	**6,956**	**6,696**	**7,972**	**9,316**	**10,763**	**11,819**	**12,918**	**14,458**
Total Liabilities + Total Equity		10,988	19,769	14,906	17,624	26,187	29,352	31,801	33,909	36,112	38,813

Appendix 4d: Financials for Base Case

Cashflow Statement

All Figures in millions USD (mm)	31-Dec-19 2019A	31-Dec-20 2020A	31-Dec-21 2021A	31-Dec-22 2022A	31-Dec-23 2023A	31-Dec-24 2024A	31-Dec-25 2025E	31-Dec-26 2026E	31-Dec-27 2027E	31-Dec-28 2028E	31-Dec-29 2029E
Cash Flow Statement											
Cash from Operating Activities											
Net income	(107)	7	(3,686)	(1,028)	(541)	1,411	1,521	1,862	2,586	3,559	4,979
Depreciation and amortization	5	10	25	61	71	77	81	88	98	113	130
Impairment of long-lived assets	n/a	n/a	n/a	45	5	2	19	19	20	21	23
Provision for credit losses	11	59	78	36		4376	113	118	124	130	137
Deferred income taxes	n/a	n/a	n/a	-	-	(369)					
Share-based compensation	27	24	1,570	654	871	304	264	230	200	174	152
Change in fair value of convertible notes and warrant liability	-	-	2,046	n/a	n/a	n/a	-	-	-	-	-
Other	0	2	(0)	35	3	(2)					
Segregated securities under federal and other regulations	-	(135)	135	-	-	(397)	(472)	(260)	(273)	(286)	(301)
Receivables from brokers, dealers, and clearing organizations	(9)	(104)	36	12	(13)	(382)	(47)	(26)	(27)	(29)	(30)
Receivables from users, net	(65)	(2,772)	(3,362)	3,386	(298)	(4,592)	(824)	(453)	(476)	(500)	(525)
Securities borrowed	n/a	n/a	n/a	(517)	(1,085)	(1,634)	(324)	(178)	(187)	(196)	(206)
Deposits with clearing organizations	(86)	(103)	(102)	142	(152)	(151)	(49)	(27)	(28)	(30)	(31)
Current and non-current prepaid expenses	n/a	n/a	n/a	33	37	(25)	(8)	(4)	(4)	(5)	(5)
Current and non-current deferred customer match incentives	n/a	n/a	n/a	-	(30)	(265)	(10)	(6)	(6)	(6)	(6)
Other current and non-current assets	(48)	(46)	(189)	(26)	(18)	(415)	(51)	(28)	(29)	(31)	(32)
Accounts payable and accrued expenses	14	67	134	(62)	134	(35)	40	22	23	24	25
Payables to users	803	3,532	578	(1,775)	396	2,351	981	1,011	590	592	987
Securities loaned	674	1,247	1,730	(1,817)	1,713	3,916	746	410	431	453	475
Other current and non-current liabilities	40	87	122	(31)	45	(27)	27	15	15	16	17
CFO	**1,260**	**1,876**	**(885)**	**(852)**	**1,181**	**(157)**	**2,007**	**2,794**	**3,058**	**4,001**	**5,789**
Cash from Investing Activities											
Purchase of property, software, and equipment	(7)	(24)	(63)	(28)	(2)	(13	(34)	(87)	(227)	(277)	(277)
Capitalization of internally developed software	(5)	(8)	(20)	(29)	(19)	(37	(60)	(98)	(159)	(259)	(421)
Acquisitions of a business, net of cash acquired	-	-	(125)	-	(93)	(6	(5)	(4)	(3)	(3)	(2)
Asset acquisition, net of cash acquired	-	-	-	-	-	(3	(3)	(3)	(3)	(3)	(3)
Purchases of held-to-maturity investments	-	-	(27)	-	(759)	(556	(526)	(498)	(471)	(446)	(422)
Proceeds from maturities of held-to-maturity investments	n/a	n/a	n/a	-	282	658	965	833	342	53	127
Purchases of credit card receivables by Credit Card Funding Trust	n/a	n/a	n/a	-	-	(748	(748)	(748)	(748)	(748)	(748)
Collections of purchased credit card receivables	n/a	n/a	n/a	-	-	556	556	556	556	556	556
Purchases of available-for-sale investments	n/a	n/a	n/a	(25)	-	-	-	-	-	-	-
Proceeds from sales and maturities of available-for-sale investments	n/a	n/a	n/a	42	10	-	-	-	-	-	-
Other	-	-	(2)	(20)	(1)	1	3	7	20	54	47
CFI	**(12)**	**(32)**	**(238)**	**(60)**	**(582)**	**(148)**	**148**	**(42)**	**(694)**	**(1,073)**	**(1,144)**
Cash from Financing Activities											
Proceeds from issuance of common stock in connection with initial public offering, net of offering costs	-	-	2,052	-	-	-	-	-	-	-	-
Proceeds from issuance of common stock under the Employee Stock Purcahse Plan	-	-	7	16	14	16	20	25	30	38	47
Taxes paid related to net share settlement of equity awards	-	-	(422)	(12)	(12)	(244	120	(685)	(504)	(792)	(1,319)
Proceeds from issuance of convertible notes and warrants	-	-	3,552	-	-	-	-	-	-	-	-
Repurchase of Class A common stock	n/a	n/a	n/a	-	(608)	(257	(227)	(201)	(178)	(157)	(239)
Draws on credit facilities	137	938	1,968	21	20	22	22	22	23	23	23
Repayments on credit facilities	(137)	(938)	(1,968)	(21)	(20)	(22	(22)	(22)	(23)	(23)	(23)
Borrowings by the Credit Card Funding Trust	n/a	n/a	n/a	-	-	132	132	132	132	132	32
Repayments on borrowings by the Credit Card Funding Trust	n/a	n/a	n/a	-	-	(1	(1)	(1)	(1)	(1)	(1)
Change in principal collected from customers due to Coastal Bank	n/a	n/a	n/a	-	1	6	12	24	48	96	92
Proceeds from issuance of redeemable convertible preferred stock, net of issuance costs	373	1,267	-	-	-	-	-	-	-	-	-
Payments of debt issuance costs	n/a	n/a	n/a	(10)	(10)	(15	(28)	(18)	(20)	(24)	(24)
Proceeds from exercise of stock options, net of repurchases	3	9	14	6	518		35	68	133	260	307
CFF	**375**	**1,276**	**5,203**	**-**	**(610)**	**(345)**	**63**	**(656)**	**(359)**	**(448)**	**(1,105)**
Effect of foreign curreny exchenage rate changes on cash and cash equivalents	-	-	(1)	(1)	-	(1)	-	-	-	-	-
Total Cash Flow	**1,623**	**3,120**	**4,081**	**(912)**	**(11)**	**(650)**	**2,218**	**2,095**	**2,005**	**2,480**	**3,540**
Starting Cash Balance	1,446	3,069	6,189	10,269	9,356	9,345	8,694	10,912	13,007	15,013	17,493
Ending Cash Balance	**3,069**	**6,189**	**10,269**	**9,356**	**9,345**	**8,694**	**10,912**	**13,007**	**15,013**	**17,493**	**21,033**

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Prompting Engineering

Chain of thought prompting

We prompted the AI to reason step-by-step for multi-stage tasks.

Examples:

- Converting screenshots of tables (executive comp, SBC %) into structured Excel datasets, then building charts
- Drafting our governance section, then prompting refinements: *"shorter," "now make it slide-ready"*
- Walking through multi-part reasoning when ranking risks

Tree-of-Thought Prompting

We explored multiple alternatives and selected the best output.

Examples:

- Generating a wide list of catalysts and risks for Robinhood, then evaluating, ranking, and trimming them to the top 5 that strengthened our thesis
- Testing different versions of the investment thesis wording and choosing the clearest path
- Comparing alternate explanations of governance structure before selecting the most concise one for the slide deck

Retrieve-Augmented Generation (RAG)

We supplied external documents and links so the AI could pull data directly before generating outputs.

Examples:

- Uploading the transcript of Business Breakdowns Episode 233 to find supporting ideas to our investment thesis
- Giving the AI Robinhood proxy screenshots (exec compensation tables) and having it extract and format the data in Excel
- Using external sources (Fed wealth dataset, Business Insider, Fidelity) to generate APA citations, summarize findings, or retrieve data for charts

Use of Coding

With the help of generative AI, we used Python code to independently verify the comparable multiples across our peer set

```python
import pandas as pd
import numpy as np

# ========= SETTINGS =========
FILE_PATH = "Robinhood Financials.xlsx"
SHEET_NAME = "Comparables Analysis"
# ============================


def clean_numeric(series: pd.Series) -> pd.Series:
    """
    Ensure values are floats. Handles things like '23.5x', '–', 'n/a'.
    """
    return (
        series.astype(str)
        .str.replace("x", "", regex=False)
        .str.replace("–", "", regex=False)   # en dash, just in case
        .str.strip()
        .replace({"n/a": np.nan, "N/A": np.nan, "": np.nan, "–": np.nan})
        .astype(float)
    )


def compute_stats(series: pd.Series) -> dict:
    s = clean_numeric(series).dropna()
    return {
        "Count": s.count(),
        "Median": s.median(),
        "Mean": s.mean(),
        "High": s.max(),
        "Low": s.min(),
        "75th %ile": s.quantile(0.75),
        "25th %ile": s.quantile(0.25),
    }


def main():
    # Read the sheet WITHOUT assuming a header row
    raw = pd.read_excel(FILE_PATH, sheet_name=SHEET_NAME, header=None)

    # 1) Find the header row (the row where first column == 'Company')
    header_idx = raw.index[raw.iloc[:, 0] == "Company"]
    if len(header_idx) == 0:
        print("Could not find a row with 'Company' in the first column.")
        return
    header_idx = header_idx[0]

    # 2) Build a proper DataFrame with that row as header
    header = raw.iloc[header_idx]
    data = raw.iloc[header_idx + 1 :].copy()
    data.columns = header
```

```python
# 3) Keep only rows that have a company name
data = data[data["Company"].notna()]

# 4) Drop Robinhood and summary rows (High, Median, etc.)
exclude_names = {
    "Robinhood Markets Inc",
    "High",
    "75th Percentile",
    "Median",
    "Mean",
    "25th Percentile",
    "Low",
}
comps = data[~data["Company"].isin(exclude_names)].copy()

# 5) Column names for the multiples (as seen in your screenshot)
col_ev_ebitda = "EV/EBITDA NTM"
col_ev_revenue = "EV/Revenue NTM"
col_pe = "P/E NTM"
col_beta = "Unlevered Beta"

multiples = {
    "EV/EBITDA NTM": comps[col_ev_ebitda],
    "EV/Revenue NTM": comps[col_ev_revenue],
    "P/E NTM": comps[col_pe],
    "Unlevered Beta": comps[col_beta],
}

results = {name: compute_stats(series) for name, series in multiples.items()}

summary = pd.DataFrame(results).T[
    ["Count", "Median", "Mean", "High", "Low", "75th %ile", "25th %ile"]
]

print(f"\nLoaded file: {FILE_PATH}, sheet: '{SHEET_NAME}'")
print("\n===== Comparable Multiples Summary =====\n")
print(summary.round(4))  # round to 4 decimals so you can match Excel
print("\n=======================================\n")
```

===== Comparable Multiples Summary =====

	Count	Median	Mean	High	Low	75th %ile	25th %ile
EV/EBITDA NTM	5.0	23.5439	24.0452	31.1837	16.7800	30.7183	18.0000
EV/Revenue NTM	8.0	8.7000	9.8088	24.4000	1.2500	11.4350	5.5000
P/E NTM	8.0	23.4695	28.9497	77.6200	12.2100	32.1475	14.6599
Unlevered Beta	8.0	0.7409	0.9257	2.7355	-0.1817	1.2625	0.4889

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